

The Post Office Savings Bank General Rules, 1981

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[Rule THE-POST-OFFICE-SAVINGS-BANK-GENERAL-RULES-1981 of 1981](#)

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[The Post Office Savings Bank General Rules, 1981](#)

[Published vide Notification No. GSR 662 \(E\)](#)

[GSR 662\(E\). - In exercise of the powers conferred by Section-15 of the Government Savings Bank Act, 1873 \(5 of 1873\), the Central Government hereby makes the following rules, namely:-](#)

[1.](#)

[Short title and commencement.](#)

[\(1\)](#)

[These rules may be called the Post Office Savings Bank General Rules, 1981.](#)

[\(2\)](#)

[They shall be applicable to the following accounts in the Post Office Savings Bank, namely; -](#)

[\(a\)](#)

Savings Account

(b)

Cumulative Time Deposit Account

(c)

Recurring Deposit Account

(d)

Time Deposit Account

(e)

National Savings Scheme Account, 1987.

(f)

Monthly Income Scheme Account.

(g)

National Savings Scheme Account, 1992.

(3)

They shall come into force on the 1st day of April, 1982.

Note:- Clause (2) updated by adding the names of new schemes introduced after 1981.

2.

Definitions.

- In these rules, unless the context otherwise requires:-

(a)

['Aadhaar number' means an identification number as defined in clause (a) of section 2 of the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and services) Act, 2016 (

18 of 2016

);

[Substituted by Notification No. G.S.R. 1242(E), dated 29.9.2017]

(aa)

'Account' means a Saving Account, a Recurring Deposit Account, a Time deposit Account, Monthly Income Scheme Account, Sukanya Samriddhi Account or Senior Citizens Saving Account;]

Note: - Clause (a) updated by adding the names of new schemes introduced after 1981.

(b)

"Authorised" means authorised by the Director General Posts;

(c)

"Balance" means the balance at credit of an account;

(d)

"Branch Savings Bank" means a Branch Post Office which is functioning also as a Savings Bank.

(e)

"Cumulative Time Deposit Account" means an account opened under the Post Office Savings Bank (Cumulative Time Deposits) Rules, 1959 or under the Post Office Cumulative Time Deposit Rules, 1981;

(f)

"Extra Departmental Sub Savings Bank" means a Sub-Savings Bank incharge of part time employee;

(g)

"Form" means a form appended to these rules;

(h)

"Guardian" in relation to a minor or a person of unsound mind means-

(i)

either father or mother; and

(ii)

where neither parent is alive or is incapable of acting, a person entitled under the law for the time being in force to have the care of the property of the minor, or as the case may be, the person of unsound mind.

(i)

"Head Postmaster" means an officer incharge of a head Savings Bank and includes a Deputy Postmaster or an

Assistant Postmaster to whom the powers of the Head Postmaster have been delegated.

(j)

"Head Savings Bank" means a Head Post Office which is functioning also as Savings Bank but does not include a Head Post Office declared by the Director General Posts to be Sub Savings Bank;

(k)

"Joint Account" means an account opened by two adults or three adults, as the case may be, in their names;

(l)

"Post Office Savings Bank" means Head Savings Bank and includes a Sub or Branch Savings Bank.

(m)

"Prescribed" means prescribed by the Director General Posts;

(n)

"Recurring Deposit Account" means an account opened under the Post Office (Recurring Deposit) Rules, 1970 or under the Post Office Recurring Deposit Rules, 1981;

(o)

"Relevant Head Savings Bank" in a relation to an account, means the Head Savings Bank in which the account stands or to which the Savings Bank where the account stands, is subordinate;

(p)

"Relevant Rule" means a rule under these rules, the Post Office Savings Account Rules, 1981, the Post Office Term Deposit Rules, 1981, the Post Office Recurring Deposit Rules, 1981, the Post Office Cumulative Time Deposit Rules, 1981, the National Savings Scheme Rules, 1987, the Post Office (Monthly Income Account) Rules, 1987 or the National Savings Scheme Rules, 1992.

(q)

"Relevant Sub Savings Bank" in a relation to an account, means the Sub Savings Bank in which the account stands or to which the Savings Bank where the account stands, is subordinate;

(r)

"Savings Account" means an account opened under the Post Office Savings Bank Rules, 1981 or under the Post Office Savings Bank Rules, 1965 or under the Post Office Savings Account Rules, 1981.

(s)

"Savings Certificate" means a certificate issued under the Government Savings Certificates Act, 1959 (46 of 1959);

(t)

"Single Account" means an account opened by or on behalf of an individual person in his name;

(u)

"Sub Savings Bank" means a Sub Post Office which is functioning also as a Savings Bank and includes a Head Post Office declared by the Director General Posts to be a Sub Savings Bank but does not include Extra Departmental Sub Savings Bank;

(v)

"Time Deposit Account" means an account opened under an Post Office (Time Deposit) Rules, 1970 or under the Post Office Time Deposit Rules, 1981.

3.

Opening of an account.

(1)

A depositor desiring to open an account in a Post Office Savings Bank may make an application to it in Form-1.

(2)

Non-Resident Indians (NRIs) are not eligible to open an account in a Post Office Savings Bank;

Provided that if a resident who opened an account in any Post Office Savings Bank, subsequently becomes Non Resident Indian during the currency of the maturity period, may continue such account till its maturity on a Non Repatriation Basis.

3A.

[Identification of Account holders.

[Inserted by Notification No. G.S.R. 1242(E), dated 29.9.2017]

- The Aadhaar number shall be the unique identifier for the purpose of establishment the identity of an account holder:

Provided that where Aadhaar number has not been assigned, the depositor shall submit proof of application of enrolment for Aadhaar:

Provided further that every depositor under this rule who has not given his Aadhaar number at the time of application for such deposit shall submit his Aadhaar number to the Post Office Saving Bank or Deposit Office concerned, on or before the 31st day of December, 2017.]

4.

Place of Deposit.

(1)

In the case of an account standing at a Head Savings Bank, a deposit may be made at the Head Savings Bank or at any of its Sub Savings Banks.

(2)

In the case of an account standing at a Sub Savings Bank, a deposit may be made at the Sub Savings Bank or at the relevant Head Savings Bank or at any of its Sub Savings Banks.

(3)

In the case of an account standing at an Extra Departmental Sub Savings Bank, a deposit may be made at the Extra Departmental Sub Savings Bank or at the relevant Sub Savings Bank.

(4)

In the case of an account standing at a Branch Savings Bank, a deposit may be made at the Branch Savings Bank or at the relevant Head Savings Bank or Sub Savings Bank.

5.

Mode of Deposit.

(1)

Deposit in a Post Office Savings Bank may be made (i) in cash (ii) by cheque or a demand draft drawn in favour of the depositor or the Postmaster and crossed generally or specially in favour of the Post Office Savings Bank or (iii) by surrender of Indian Postal Orders or Postal Orders issued by British authorities, and deposit may also be made by means of:-

(a)

a pay order;

(b)

an income-tax refund voucher or income tax refund order;

(c)

an interest warrant issued by the Reserve Bank of India on Defence Deposit Certificate or installment of an Annuity Certificate;

(d)

withdrawal or discharge of any amount payable on an account or savings certificate held by the depositor.

(e)

Dividend warrants, interest warrants and refund orders issued by the companies/financial institutions.

(2)

Each deposit shall be accompanied by a pay-in-slip in the manner prescribed and the counterfoil of the pay-in-slip shall be returned to the tendered duly receipted.

(3)

Except as specified in the Post Office Cumulative Time Deposit Rules, 1981 and the Post Office Recurring Deposit Rules, 1981, the date of credit in an account of money deposited by the cheque or other instrument shall be the date of its encashment and not the date of its presentation.

(4)

Where a deposit is made by means of an outstation cheque or instrument, collection charges at the prescribed rate shall be payable along with the deposit.

6.

Withdrawal.

(1)

Withdrawal from an account at a Sub Savings Bank, an Extra Departmental Sub-Savings Bank or Branch Savings Bank

is subject to the availability of funds.

(2)

No withdrawal except to the extent of the amount prescribed shall be allowed from Extra Departmental Sub-Savings Bank or a Branch Savings Bank without prior sanction of the relevant Head Savings Bank or the relevant Sub-Savings Bank, as the case may be.

(3)

In the case of an account standing at Extra Departmental Sub-Savings Bank or a Branch Savings Bank, withdrawal may also be made from the relevant Head Savings Bank to the extent of the amount actually credited to the account in such Head of Sub Savings Bank.

(4)

In the case of an account opened on behalf of a minor or a person of unsound mind, a withdrawal during the minority or lunacy of the depositor shall be permitted to-

(a)

the guardian, or

(b)

where the person of unsound mind is confined in a mental hospital, the superintendent of such hospital.

on furnishing a certificate in the following form:-

"Certified that the amount sought to be withdrawn is required for the use of Shri/Smt/Km.....who is a minor/a person of unsound mind and is alive this day".

7.

Identification of the depositor.

- Identification of a depositor at the time of withdrawal under rule-6 shall ordinarily be made by verification of his signature appearing on the record in the Post Office Savings Bank and in cases where identification cannot be done as aforesaid, it may be done on the basis of Identity Card, if any, issued to him by the Post Office or in such other manner as may be prescribed.

8.

Pass Book.

(1)

On opening an account the depositor shall be given a passbook bearing the number of his account, his name, his address and entry of his first deposit duly initialled by an authorised official of the Post Office Savings Bank.

(2)

It shall be the responsibility of the depositor to keep the passbook in safe custody.

(3)

If the passbook is lost, stolen, destroyed or spoilt while in custody of the depositor, he shall be issued a duplicate passbook on his paying a fee of ten rupees and on completion of such enquiries as the Post Office Savings Bank may consider necessary and no such fee shall be charged if the Head Postmaster is satisfied that the circumstances in which the passbook was lost, stolen, destroyed or spoilt were beyond the control of the depositor.

(4)

The passbook shall ordinarily be presented for all withdrawals and deposits, other than those made by a cheque, and in case where a deposit or withdrawal is made without production of passbook, the passbook shall be presented to the Post Office Savings Bank as soon as possible thereafter for bringing it up-to-date.

(5)

When the passbook is returned duly completed, the depositor shall bring the errors or omissions therein, if any, to the notice of the Post Office Savings Bank forthwith and in the event of the depositor's failure to do so, the Post Office Savings Bank shall not be responsible for any loss arising from such errors or omissions.

(6)

The passbook shall, as far as possible, be collected from the Post Office Savings Bank by the depositor on the same day on which it is presented to it under sub-rule (4) and where for any reason, the passbook cannot be returned on the same day, the Post Office Savings Bank shall issue a receipt in lieu thereof and such receipt shall be surrendered by the depositor at the time of collecting the passbook on a subsequent date.

(7)

The Post Office Savings Bank shall not be responsible for any entries in the pass book not authenticated under the initials of authorized official.

9.

Transfer of an account.

- A depositor may have his account transferred from one Post Office Savings Bank to another Post Office Savings Bank free of charge by making an application in the prescribed form subject to such conditions as may be prescribed.

10.

Conversion of an account.

- Subject to the provisions of the relevant rules relating to an account on a written application being made by its holder or holders, as the case may be -

(1)

a single account in the name of an adult may be converted into a joint account in the name of the original depositor and another adult and a joint account in the names of two depositors may be converted into a single account in the name of one of the joint depositors.

(2)

In the case of a savings account-

(i)

a joint account in the names of three adults may be converted into a single account in the name of one of the depositors or into a joint account in the names of two adults including atleast one of the original depositors;

(ii)

a joint account in the names of two adults may be converted into a joint account in the names of three adults, including atleast one of the original depositors; and

(iii)

a single account in the name of an adult may be converted into a joint account in the names of three adults including the original depositor.

11.

Final withdrawal on closure.

- Except as otherwise provided in the relevant rules, final withdrawal on closure of an account shall be allowed at the Post Offices authorised by the Director General (Posts).

12.

Nomination.

(1)

Subject to the provisions of sub-rules (2) to (7), an adult opening a single account or two adults or three adults opening a joint account, may by furnishing the necessary particulars in Form-1 at the time of opening the account, nominate person or persons who in the even of death of the depositor or all the depositors, as the case may be, shall become entitled to payment of the amount due on the account and if such nomination is not made at the time of opening the account, it may be made by the depositor of a single account or by the depositors or the surviving depositor or depositors of a joint account at any time after the opening of the account but before its closure, by means of an application in Form-2 accompanied by the passbook, to the Post Office Savings Bank where the account stands.

(2)

No nomination shall be made in respect of an account opened or to be opened by or on behalf of a minor or a person of unsound mind.

(3)

A nomination made under sub-rule (1) may be cancelled or varied by the depositor of the single account or by the depositors or the surviving depositor or depositors of a joint account, by submitting an application in Form-2, affixing postage stamps of the value of one rupee to it, together with the passbook to the Post Office Savings Bank where the account stands or to the relevant Head Savings Bank.

(4)

The nomination or the cancellation or variation of a nomination shall be registered in the relevant Head Savings Bank and the fact of registration shall be noted in the passbook and such registration, nomination or the cancellation or variation of the nomination, as the case may be, shall be deemed to be effective from the date on which it was

presented.

(5)

A nomination shall become void if the nominee predeceases or where there are two or more nominees, all the nominees predecease the depositor.

(6)

Where any nominee is minor, the depositor or depositors making the nomination may, by furnishing the necessary particulars in Form-2, as the case may be, appoint the person to receive payment of the amount due on the account in the event of death of the depositor or depositors, as the case may be, during the minority of the nominee.

(7)

Where an account is held by or on behalf of any person as a pledge or by way of security for any purpose, such holding shall not have the effect of cancelling a nomination but the right of the nominee or nominees shall be subject to the right of the person so holding the account.

Explanation. - In this rule and rule -13, "Single Account" includes a pension account and security deposit account and "joint account" includes a security deposit account.

13.

Payment on death of depositor.

(1)

In the event of death of the depositor of single account or of all the depositors of a joint account, the amount due on the account shall be payable as specified in sub-rules (2) to (4).

(2)

(a)

If a nomination made under Rule -12 is in force at the time of death of the depositor of a single account or the surviving depositor in the case of joint account, the nominee or nominees surviving such depositor may make an application in the manner prescribed to the relevant Head Savings Bank for payment of the amount due on the account and such application shall be accompanied by proof of death of the depositor or depositors, as the case may be, and where any other nominee has predeceased the depositor, by proof of death of such minor.

(b)

If there is only one surviving nominee, the amount due on the account shall, on his making an application as aforesaid, be payable to him.

(c)

If there are two or more surviving nominees, the application as aforesaid may either be made by them jointly in which case the amount due on the account shall be payable to them jointly or be made by each one of them separately in which case such nominee applicant shall be entitled to receive an equal share of the amount due on the account.

(3)

Where the surviving nominee is a minor, the payment under sub-Rule (2) shall be made to the person appointed under Sub-Rule (6) of rule 12 to receive such payment and, if there is no such person, to the guardian of the minor.

(4)

If a depositor dies and there is no nomination in force at the time of his death and probate of his will or letters of administration of his estate or a succession certificate granted under the Indian Succession Act, 1925(39 of 1925) is not, within three months of the death of depositor, produced to the Secretary of the Government Savings Banks in which the deposit is, then -

(a)

If the amount due on the account does not exceed one lakh rupees, the Secretary may pay the same to any person appearing to him to be entitled to receive it or to administer the estate of the deceased; and

(b)

Within the aforesaid limit of one lakh rupees, the authorities specified in the Table below shall be competent to sanction claims upto the limit noted against each on the death of the depositor without production of the probate of his will or letters of administration of his estate or succession certificate granted under the Indian Succession Act, 1925 (

39 of 1925

).

Sl. No.

Name of Authority

Limit in (Rs.

(i)

Time Scale Departmental Sub-Postmasters

1,000

(ii)

Sub-Postmasters in Lower Selection Grade

2,000

(iii)

Sub-Postmasters/Deputy Postmasters/ Postmasters
in Higher Selection Grade (All Non Gazetted)

5,000

(iv)

Deputy Postmasters/ Senior Postmasters/ Deputy
Chief Postmasters/Superintendent of Post Offices/ Deputy
Superintendent of Post Offices (All Gazetted Group-B)

20,000

(v)

Chief Postmasters in Head Offices, Senior
Superintendents (All Gazetted Group-A)

50,000

(vi)

Regional Directors/Director {General Post
Offices} [in Mumbai & Kolkata)

75,000

(vii)

Chief Postmasters General/ Postmasters General
(Head Quarter and Region)

1,00,000

14.

Payment of amount at credit in an account held by Army, Air Force and Navy Personnel.

- Notwithstanding anything contained in rules 12 & 13, where an account holder serving in the Army, Air Force or Navy, dies or deserts, the Commanding Officer of the Corps, department, detachment, unit or ship to which the account holder belonged, or the Committee of Adjustment, as the case may be, may send a requisition to the officer incharge of the Post Office Savings Bank where the account stands for payment of the amount due on the account to the Commanding Officer or the Committee of Adjustment; and the Officer incharge of the Post Office Savings Bank shall be bound to comply with such requisition even though there is in force at the time of death or desertion of the account holder a nomination made in favour of any person

Explanation. - The aforesaid requisition must be made under Section-3 or Section-4 of the Army and Air Force (Disposal of Private Property) Act, 1950 (40 of 1950) in the case of a person belonging to the Army or the Air Force, or under Section-171 or Section-172 of the Navy Act, 1957 (62 of 1957

) in the case of a person belonging to the Navy.

15.

Responsibility of the Savings Bank.

- The Post Office Savings Bank shall not be-

(a)

responsible to a depositor for any fraudulent withdrawal by a person obtaining possession of the passbook or a cheque from the cheque book of the depositor;

(b)

liable if any fraud takes place due to failure of the depositor to ensure that the amount sought to be withdrawn is entered

in the application for withdrawal before the same is presented at or sent duly signed by him to the Post Office Savings Bank for withdrawal.

(c)

responsible to a depositor, if he or, in case the withdrawal form is presented by his agent, the agent, fails to ensure that the receipt for the payment is signed by him or the agent, as the case may be, only at the time of actual payment and not at the time of presentation of the application for withdrawal.

16.

Accounts opened incorrectly.

(1)

Where an account is found to have been opened incorrectly under a category other than the one applied for by the depositor, it shall be deemed to be an account of the category applied for if he was eligible to open such account on the date of his application and if he was not so eligible the account may, if he so desires, be converted into an account of another category ab-initio, if he was eligible to open an account of such category on the date of his application.

(2)

In cases where the account cannot be so converted, the relevant Head Savings Bank may, at any time, cause the account to be closed and the deposits made in the account refunded to the depositor with interest at the rate applicable from time to time to a Savings Account of the type for which the depositor is eligible.

17.

Account opened in contravention of rules.

- Subject to the provisions of rule -16, where an account is found to have been opened in contravention of any relevant rule for the time being in force and applicable to the account kept in the Post Office Savings Bank, the relevant Head Savings Bank may, at any time, cause the account to be closed and the deposits made in the account refunded to the depositor without interest.

18.

Recovery of amount paid in excess.

- The Head Savings Bank shall be competent to recover any interest or any other amount paid in excess in the same manner as an arrears of land revenue.

19.

Interpretation.

- If any question arises relating to the interpretation of any relevant rule, it shall be referred to the Central Government for a decision.

20.

Power to relax.

- Where the Central Government is satisfied that the operation of any relevant rule causes undue hardship to the depositor or depositors of an account, it may, by order, for reasons to be recorded in writing relax the requirements of that provision in a manner not inconsistent with the provisions of the Act.

Form - 1

[See Rule 3, 12 (1) and (6)]

Post Office Savings Bank Application For Opening an Account

1. * Please open in my/our Name (s) and Address (es)

Savings

RD

Time Deposit 1/2/3/5-Year

Account

MIS

Denomination Rs.

** (i).....

** (ii)

** (iii).....

* If minor, date of birth date of majority Applicant's relationship.....

**** 2. Introducer's**

(i)

Name and address

(iii)

Signature

***3. The account will be operated JOINTLY/SEVERALLY.**

***4. I/We hereby under take to keep the balances in all my/our Savings/MIS accounts, single or joint at any time within the limit specified in the relevant rule, and also to furnish, upon demand from the Post Office Savings Bank, particulars of all such accounts.**

5. I/We agree to abide by such rules framed by the Central Government as may be applicable to the account from time to time.

6. I/We nominate the person(s) named below, under Section-4 of the Government Savings Banks Act, 1873 (5 of 1873), to be the sole recipient(s) in the event of my/our death, of the amount standing at the credit of the account(s)

Name and address of nominee(s)

If nominee is minor

Date of Birth

Name and address of person who may receive the amount during the minority of nominee

*** The name(s) of nominee(s) may not be entered in the passbook.**

Signature.....

Name and address.....

Signature(s) or

Thumb impression,

if illiterate, of applicant(s)

7. Specimen Signatures:

Name

Specimen Signatures

(I)

(II)

(III)

(i)

(ii)

(iii)

Signature of Branch Postmaster

Signature of Sub Postmaster

Signature of Head Postmaster

Date stamp

Date stamp

Date stamp

**** To be filled for Savings Accounts opened by or on behalf of individuals.**

*** Strike out portions not applicable.**

Form - 2

[See rule 12(1), (3) and (6)]

Post Office Savings Bank Application For Nomination or Cancellation or Variation of Nomination

Name of Post Office

Account No.....

*** 1. I/we the depositor (s) of Savings/Cumulative Time Deposit/Recurring Deposit/1/2/3/5-Year Time Deposit Account No.....hereby nominate the person(s) named below, under section-4 of the Government Savings Banks Act, 1873, to be sole recipient (s) of the amount standing at the credit of the said account.**

Name and address of nominee(s)

If nominee is minor

Date of birth

Name and address of person who may receive the said amount during the nominee's minority.

\$ The name(s) of nominee(s) may not be entered in the pass book,

& 2. This nomination supersedes the previous nomination made in respect of the said account which stands registered under No.....on..... (date)

@ 3. No nomination has been previously made in respect of the said account which is in force.

X 4. I/We, the depositor(s) of savings/cumulative time deposit/recurring deposit/1/2/3/5-year time deposit account No.....hereby cancel the nomination made in respect of the said account which stands registered under No.....on.....(date).

5. The passbook for the account is enclosed.

Signature(s) or thumb impression, if illiterate, and name(s) of depositor(s)

Witness:.....

Signature:.....

Name and address:.....

Signature of Branch Postmaster

Signature of Sub Postmaster

Signature of Head Postmaster

Date stamp

Date stamp

Date stamp

* Strike out if no nomination is required.

& Strike out if no previous nomination is in force.

@ Strike out if a previous nomination is in force.

X Strike out if nomination or variation thereof is required.

\$ Strike out if not required.

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